As at 31 July 2023

# Aon Standard

## For customers

Defined contributions

## Fund facts

| | |
|---|---|
| Fund type | Pension |
| Domicile | United Kingdom |
| Fund launch date | 30 Apr 2014 |
| Issuing company | Aegon/Scottish Equitable plc |
| Use of Income | - |
| Base Currency | GBP |
| Entry Fees | No |
| Exit Fees | No |
| Performance Fee | No |
| Benchmark | FTSE All Share |
| Aegon fund size | J7.37m |
| Inception date | 30 Apr 2014 |
| Additional expenses | 0.00% |

An annual management charge will also be incurred in addition to the additional expenses shown.

## Our risk rating

## Relative Risk Profile

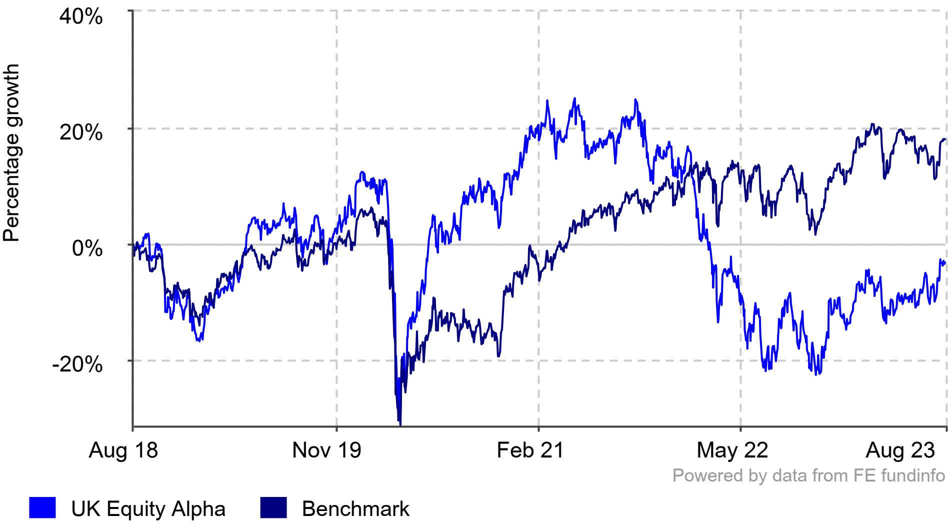
These risk ratings are only applicable to funds available via TargetPlan. Other risk ratings apply across the rest of our fund range and they, or ratings from other providers, are not comparable. Be aware that even lower risk investments can fall in value.

## Fund objective

The fund aims to outperform the FTSE All Share Index by 2% per year (after charges) over rolling 5-year periods. It does so by investing at least 80% in the shares of UK companies of any size and in any sector. The fund will typically hold between 30 to 50 stocks. The Aegon fund has higher charges than the underlying Baillie Gifford fund and will therefore be less likely to meet this target.

## Fund performance

### Aon Standard




| | 3 Months | Year To Date | 1 Year | 3 years p.a. | 5 years p.a. |
|---|---|---|---|---|---|
| Fund | 7.28% | 10.60% | 9.13% | -5.77% | -3.16% |
| Benchmark | -1.16% | 5.29% | 6.09% | 41.75% | 18.07% |

| | 4 Years to 5 Years | 3 Years to 4 Years | 2 Years to 3 Years | 1 Year to 2 Years | 0 to 1 Year |
|---|---|---|---|---|---|
| Fund | 4.5% | -3.2% | 14.3% | -25.7% | 8.1% |
| Benchmark | 1.3% | -17.8% | 26.6% | 5.5% | 6.1% |

**Past performance is not a reliable guide to future performance. The value of investments and the income from them can fluctuate and are not guaranteed. Investors may not get back the full amount invested.**

Performance shown is gross of the annual management charge but is net of additional expenses (if any) incurred within the fund. The annual management charge will reduce the performance figures shown. Source: Scottish Equitable plc.

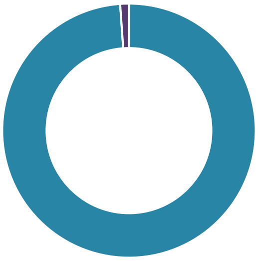
## Performance Commentary

Over the three-month period to 30 June 2022, the Fund returned -6.8% gross of fees, outperforming its benchmark by 1.6%. The Fund is invested 90% in the Aon Managed Global Equity Fund, with the remaining 10% invested in a diversified range of commercial property assets and listed securities within the property and infrastructure sectors. Inflation remained elevated, with the US Consumer Price Index (CPI) rising 8.6% year-on-year in May and UK CPI rising 9.1% year-on-year due to soaring energy and food prices. Inflation fears continued to unsettle central banks over Q2, leading to significant rate rises by central banks across the globe. Geopolitical risk remained high over Q2, as the conflict in Ukraine entered its fifth month. The European Union agreed to implement the sixth package of sanctions on Russia that includes removing Russia's largest bank, Sberbank, from the SWIFT-cross border payment system and a ban on sea-borne oil purchases from Russia, which comprises almost two-thirds of Europe's imports from Russia. Global

equity markets fell in response to continued inflationary pressure and fears of corresponding tighter monetary policy. The Aon Managed Global Equity Fund returned -6.7% over the quarter. The Fund's underlying holdings generated negative returns over the quarter, reflecting broad equity market falls. The allocation to factor-based equities returned -6.7%, outperforming the broader market. All four factors contributed positively to returns, with the low volatility and momentum factors contributing most. Additionally, the fund’s underweight to the technology sector was beneficial as more growth orientated stocks lagged the broader market.

# Aon Standard

## Asset allocation as at 30 Jun 2023



| Name | Fund |
|---|---|
| United Kingdom Equities | 98.9% |
| Cash | 1.1% |
| Total | 100.0% |

## Fund Split as at 31 Jul 2023

| | |
|---|---|
| Games Workshop | 8.4% |
| 4imprint | 5.9% |
| Experian | 5.0% |
| Auto Trader | 4.9% |
| Wise | 4.3% |
| Abcam | 3.7% |
| Ashtead | 3.4% |
| Softcat | 3.1% |
| Genus | 3.0% |
| Other | 58.4% |
| Total | 100.1% |

Source of fund breakdown and holdings: Fund mgmt group

## Fund Commentary

The Aon Managed Initial Growth Phase Fund aims to outperform its composite benchmark by investing in funds that provide exposure to a range of asset types, which may include global equities, property and other assets. The Fund's current investment strategy is to hold 90% of its assets in the Aon Managed Global Equity Fund, which invests in a global equity climate transition fund, an emerging market equity fund and a multi-factor equity fund that provides exposure to broader equity market themes (often referred to as factor investing), including value, quality, momentum, small size and low volatility. Each of the underlying funds invests broadly in line with its respective investment benchmark (commonly known as 'passive investment'). Investing across multiple regions, industry sectors and broader equity market themes is intended to create an equity portfolio that is diverse and well-balanced. The inclusion of funds with an ESG screen and focus on environmental issues aims to help reduce the Fund’s carbon footprint and reduce the investment risks associated with climate change and the transition to a low carbon economy. The global equity climate transition fund offers broad based exposure to global equities but with improved climate metrics, lower carbon emissions, better ESG scores and a focus on positive impact by investing more in those companies that contribute to a just and fair transition. Alongside this, the low carbon approach within the multi-factor equity fund offers a large reduction in carbon emissions, achieved by investing less in companies with a high carbon footprint across a range of different sectors. Together these two strategies account for 80% of the Fund. The Fund also reduces exposure to tobacco, controversial weapons and companies that violate the UN Global Compact principles.

# Aon Standard

To provide a like for like comparison with the benchmark, a special price is calculated monthly at the close of business on the last working day. However, calculating this special price is not always possible and in these cases the standard price is used and this can lead to differences in performance reporting between fund andbenchmark. Further differences in performance reporting between fund and benchmark may also arise due to the impact of timing, charges, cashflows, and the pricing basis of the underlying fund. Fund returns are calculated on a total return basis with dividends reinvested.

The value of your plan depends directly on a number of things, including the level of your pensions savings, charges, investment returns and the annuity rates available to buy your pension income when you decide to take your benefits. Levels and basis of, and reliefs from, taxation can also change. Any money that you invest in the plan is tied up until you take your retirement benefits. You cannot normally take the benefits until at least the age of 55.

The value of investments can fluctuate. Fluctuations may be particularly marked in the case of a higher volatility fund and the value of an investment may fall suddenly and substantially. Changes in exchange rates will affect the value of overseas investments. Emerging market investments are often associated with greater investment risk. Two main risks related to fixed income investing are interest rate risk and credit risk. Typically, when interest rates rise, there is a corresponding decline in the market value of bonds. Credit risk refers to the possibility that the issuer of the bond will not be able to repay the principal and make interest payments.

Aon Investments Limited ("AIL") has been appointed as the investment manager of this fund. AIL is authorised and regulated by the Financial Conduct Authority. Aon Investments Limited, The Aon Centre, The Leadenhall Building, 122 Leadenhall Street, London EC3V 4AN. Registered in England No: 5913159